

I remember when my husband and I were in the market for a house we had to pay a price for making a full cheque payment. After seeing at least twenty properties, we realized that we'll never buy – about 60–70 per cent of the payment had to be in cash. Our choice set finally reduced to one old man who had the same moral fibre as ours and wanted a full cheque.

So unless you have illegal money (basically money on which you have not paid tax), stay well away from real estate as investment in India – the prices are inflated due to cash in the system, and if the crackdown on corruption succeeds, there is no room for price rise for another decade (as of 2018).

The third reason to choose real estate is just fear of the unknown. Twenty to thirty years ago, there were not many investment avenues – gold, real estate, bank deposits and LIC were what everybody had chosen to invest in. But now the presence of mutual funds, which have a product for most needs, does give a better choice set. But these are invisible products – we can neither see them, live in them, nor wear them. They do not come with government guarantees. This makes us fearful. The stock market scams of the past haunt us, as they should.

We should be very careful where we invest our money. We're happy to invest in dodgy property deals, to risk builders running away with our money and to turn our white into black so that we can invest for the long term in something we are familiar with and can 'trust'. Time for pressing reset.

The Indian habit of gold, FD and real estate is hard to break. But why buy the '60s and '70s products when you have the millennial financial products to invest in. Count the costs, count in the years of investing, and look at post-tax returns to see the true face of your investment returns. **You are doing OK if ...**

1. you have no more than 5 to 10 per cent of your portfolio in gold and they are in the form of government gold bonds;